

Chairman's

Dr. Nalin Shinghal
Chairman & Managing Director

Dear Shareholders,

On behalf of the Board of Directors & employees of BHEL, it gives me immense pleasure to welcome you all to the 59th Annual General Meeting of your Company.

It is a proud moment for us all that India has become the first country to land on the Lunar South pole region and the fourth country to successfully achieve soft landing on the Lunar Surface. I am happy to share that BHEL has been associated with ISRO for over three decades and has contributed to the Chandrayan-3 project. The project is equipped with BHEL manufactured Li-ion Batteries and Titanium Alloy Propellant tank for Lander Module and Propulsion Module.

The company has been building for the future by putting in place suitable enablers for long term sustainable growth and has taken a number of initiatives in recent years, which, I am happy to say, are showing results.

To this end, one of the most important changes that your company has seen in recent times is the change in operations ideology from being "Revenue Centric" to "Project Centric". This impetus has paid off in terms of more than doubling the erection tonnage at project sites over a period of four years, achieving 5.41 lakh MT in FY 2022-23.

Key performance highlights

- Your company achieved revenue from operations of ₹23,365 Crore as against ₹21,211 Crore during the previous year, and made a profit after tax of ₹448 Crore against ₹410 Crore in the previous year.
- The company secured orders worth ₹23,548 Crore, excluding taxes, which is the highest in the last five years. Industry sector segment order booking is the highest in the last 13 years with the highest-ever orders in the defence sector.
- The total outstanding order book as on 31st March 2023 stands at ₹91,336 Crore, net of taxes. With the receipt of the prestigious order for 80 "Vande Bharat" trainsets in April 2023, the total outstanding order book has crossed ₹1 Lakh Crore (excluding taxes), highest in the last 4 years.
- The company won both the thermal power plant orders awarded in the country in the last four years-EPC order for 2x660 MW Talcher Thermal Power Plant from NTPC and BTG order (supply & supervision) for 2x800 MW Supercritical Thermal Power Project from M/s Mahan Energen Ltd.
- Unit 1 of North Karanpura 3x660 MW Thermal Power Plant was synchronised in October 2022. This plant is the first utility scale power plant with Air Cooled Condensers (ACC) for reducing water consumption and will result in saving of about 30 billion liters of water annually when all the three units are functioning. This is equivalent to the annual requirement of around 1.5 million people. The work of commissioning of the ACC was carried out successfully by BHEL engineers in the absence of OEM experts (due to geo-political issues).

Going forward

To address upcoming business opportunities, your company is working on a two pronged approach:

1) In the conventional business areas, the company has expanded its business scope with the development and successful demonstration of an in-house solution for flexible operation of coal- fired power plants. In the Spares and Services business, the company continues to expand through focus on long term agreements with customers, multiple efforts to reduce delivery times & improved customer response & service and providing support for non-BHEL sets, resulting in the highest-ever order booking of around ₹3,800 Crore, excluding taxes, in the last year. In Nuclear business, an MoU has been signed with NPCIL to jointly pursue business opportunities in the area of Nuclear Power Plants based on Pressurized Heavy Water Reactor (PHWR) technology and developmental efforts have been initiated in the area of Small Modular Reactors. The company continues to maintain its lead position in hydro power with the capability to design and manufacture custom-made hydro turbines & generators of various sizes up to 400 MW and offer customized R&M solutions for the vast fleet of ageing hydro turbo-generators in the country.



Congratulations ISRO for making the nation proud

2) On the diversification front, the company is targeting at least 50% of its business from non-coal segments. The company has achieved some notable successes in this area including receipt of BHEL's largest order for supply and 35 years' maintenance of 80 Vande Bharat trainsets which was received in April 2023 in consortium with M/s Titagarh Rail Systems Ltd (TRSL). This is a landmark success which will open the way for future rail businesses. Additionally, the company received its highest-ever orders in defence sector, including orders for upgraded SRGMs, Heat Exchangers for fighter aircraft. Your company has also secured the maiden order for supply of Li-ion batteries for Advanced Medium Combat Aircraft, making BHEL the sole Indian supplier of Li-ion batteries for the next generation aircraft.



Contract signing with Indian Railways for 80 nos. Vande Bharat Trainsets

BHEL has leveraged its indigenously developed coal gasification technology and completed design, validation & optimization of the